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23.06 Wholesaler

Wholesale Trade means buying and selling goods in relatively large quantities or in bulk. The traders who are engaged in wholesale trade are called wholesalers.



A wholesaler buys goods in bulk directly from manufacturers and sells them in small lots to customers or industrial users. A wholesaler is the first intermediary and serves as a link between producers and retailers. Wholesalers place large orders with producers and supply in small quantities to retailers. In this way wholesaler serve both manufacturers and retailers.

Definition

According to Cundiff and still "*wholesaler buys from the producer and sell merchandise to the retailers and other merchants and not to the consumers*".

According to Evelyn Thomas "*a true wholesaler is himself neither a manufacturer nor a retailer but act as a link between the two*".

23.07 The Characteristics of Wholesalers

The following are the characteristics of wholesalers;

1. Wholesalers buy goods directly from producers or manufacturers,
2. Wholesalers buy goods in large quantities and sell in relatively smaller quantities,
3. Wholesalers sell different varieties of a particular variety of product,
4. They employ a number of agents or workers for distribution of products
5. They need large amount of capital to be invested in his business,
6. They generally provide credit facility to retailers,
7. They also provide financial assistance to the producers or manufacturers,
8. In a city or town, they are normally located in one particular area of the market.

B. Functions of Wholesalers

Following are the functions of wholesalers,

a. Collection of Goods: Wholesaler collects the goods from manufacturers or producers in bulk.

b. Storage of Goods: Wholesaler collects and stores them safely in warehouses, till they are sold out. Perishable goods like fruits, vegetables, etc. are stored in cold storage facility.

c. Distribution: Wholesaler sells goods to different retailers. Thus he performs the function of distribution.

d. Financing: Wholesalers provide financial support to producers and manufacturers by providing money in advance to them. He also sells goods to retailer on credit. Thus, at both ends wholesaler acts as a financier.

e. Risk Taking: Wholesaler buys finished goods from the producer and keeps them in the warehouses till the time they are sold